

HFC LTD
UNAUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES

I	STATEMENT OF FINANCIAL POSITION AS AT 30 SEPTEMBER 2021	Bank					Group Consolidated		
		30.09.2020	31.12.2020	31.03.2021	30.06.2021	30.09.2021	30.09.2020	31.12.2020	30.09.2021
		UnAudited	Audited	UnAudited	UnAudited	UnAudited	UnAudited	Audited	UnAudited
		(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)
A.	ASSETS								
1	Cash balances (both local and foreign)	499,196	761,310	599,837	418,565	475,551	499,196	761,310	475,551
2	Balances due from Central Bank of Kenya	897,708	756,604	2,136,860	2,148,285	1,361,406	897,708	756,604	1,361,406
3	Kenya Government and other securities held for dealing purposes	-	-	-	-	-	-	-	-
4	Financial Assets at fair value through profit and loss	-	-	-	-	-	-	-	-
5	Investment Securities:	-	-	-	-	-	-	-	-
	a) Held to Maturity:	837,786	1,941,696	1,712,136	1,465,936	1,420,750	837,786	1,941,696	1,420,750
	a. Kenya Government securities	837,786	1,941,696	1,712,136	1,465,936	1,420,750	837,786	1,941,696	1,420,750
	b. Other securities	-	-	-	-	-	-	-	-
	b) Available for sale:	5,124,133	5,163,921	3,994,261	3,447,768	3,973,195	5,124,133	5,163,921	3,973,195
	a. Kenya Government securities	5,124,133	5,163,921	3,994,261	3,447,768	3,973,195	5,124,133	5,163,921	3,973,195
	b. Other securities	-	-	-	-	-	-	-	-
6	Deposits and balances due from local banking institutions	586,744	205,010	338,393	1,277,650	1,295,758	586,744	205,010	1,295,758
7	Deposits and balances due from banking institutions abroad	305,260	763,728	462,501	143,436	352,349	305,260	763,728	352,349
8	Tax recoverable	213,926	233,135	221,447	210,391	199,436	320,688	344,930	318,982
9	Loans and advances to customers (net)	38,715,033	38,194,786	37,007,980	36,435,789	35,812,422	37,579,674	36,998,473	34,605,921
10	Balances due from banking institutions in the group	-	-	-	-	-	-	-	-
11	Investments in associates	-	-	-	-	-	-	-	-
12	Investments in subsidiary companies	-	-	-	-	-	-	-	-
13	Investment in Joint ventures	231,236	208,071	208,071	208,695	208,200	1,674,903	1,635,079	1,633,185
14	Investment properties	563,666	559,631	561,579	707,162	696,683	1,271,070	1,263,268	1,389,019
15	Property and equipment	1,694,443	1,775,440	1,722,158	1,677,101	1,630,859	1,704,764	1,780,854	1,635,592
16	Prepaid operating lease rentals	-	-	-	-	-	-	-	-
17	Intangible assets	752,654	702,377	656,655	606,870	576,964	753,568	703,254	577,725
18	Deferred tax asset	996,046	1,094,505	1,100,554	1,090,447	1,077,937	1,199,996	1,305,059	1,288,491
19	Retirement benefit asset	-	-	-	-	-	-	-	-
20	Other assets	2,137,303	2,117,846	2,292,744	2,195,356	2,332,301	2,351,547	1,822,064	1,871,647
21	TOTAL ASSETS	53,555,134	54,478,060	53,015,176	52,033,451	51,413,811	55,107,037	55,445,251	52,199,571
B.	LIABILITIES								
22	Balances due to Central Bank of Kenya	-	-	-	-	-	-	-	-
23	Customer deposits	38,116,234	40,005,915	37,276,675	37,902,197	37,559,130	38,022,683	39,944,490	37,520,616
24	Deposits and balances due to local banking institutions	243,804	1,190,118	1,503,357	474,235	240,469	243,804	1,190,118	240,469
25	Deposits and balances due to foreign banking institutions	-	-	-	-	-	-	-	-
26	Other money market deposits	-	-	-	-	-	-	-	-
27	Borrowed funds	5,245,274	3,681,087	5,104,347	4,672,234	4,612,184	5,245,274	3,681,087	4,612,184
28	Balances due to banking institutions in the group	-	-	-	-	-	-	-	-
29	Tax payable	-	-	-	-	-	-	-	-
30	Dividends payable	-	-	-	-	-	5,880	6,361	6,283
31	Deferred tax liability	-	-	-	-	-	-	-	-
32	Retirement benefit liability	-	-	-	-	-	-	-	-
33	Other liabilities	1,307,942	1,353,833	1,042,888	1,011,034	1,095,782	2,036,301	2,061,408	1,823,622
34	TOTAL LIABILITIES	44,913,255	46,230,953	44,927,267	44,059,700	43,507,565	45,553,942	46,883,465	44,203,174
C.	SHAREHOLDERS' FUNDS								
35	Paid up /Assigned capital	5,000,000	5,000,000	5,000,000	5,000,000	5,000,000	1,923,071	1,923,071	1,923,071
36	Share premium/(discount)	3,513,662	3,513,662	3,513,662	3,513,662	3,513,662	4,343,512	4,343,512	4,343,512
37	Revaluation reserves	180,440	310,662	310,662	310,662	310,662	881,904	1,012,125	1,012,124
38	Retained earnings/Accumulated losses	(3,679,099)	(4,226,070)	(4,284,351)	(3,988,184)	(4,193,205)	(1,241,275)	(2,384,781)	(2,576,443)
39	Statutory loan loss reserves	3,477,607	3,653,888	3,567,085	3,152,114	3,241,509	3,477,607	3,653,888	3,241,509
40	Other Reserves	98,519	(5,035)	(19,149)	(14,503)	33,617	117,526	13,971	52,625
41	Proposed dividends	-	-	-	-	-	-	-	-
42	Capital grants	50,750	-	-	-	-	50,750	-	-
43	TOTAL SHAREHOLDERS' FUNDS	8,641,879	8,247,107	8,087,909	7,973,751	7,906,246	9,553,095	8,561,786	7,996,398
44	TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	53,555,134	54,478,060	53,015,176	52,033,451	51,413,811	55,107,037	55,445,251	52,199,572

HFC LTD
UNAUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES

II	STATEMENT OF COMPREHENSIVE INCOME FOR THE PERIOD ENDED 30 SEPTEMBER 2021	Bank					Group Consolidated		
		30.09.2020	31.12.2020	31.03.2021	30.06.2021	30.09.2021	30.09.2020	31.12.2020	30.09.2021
		UnAudited (Ksh'000)	Audited (Ksh'000)	UnAudited (Ksh'000)	UnAudited (Ksh'000)	UnAudited (Ksh'000)	UnAudited (Ksh'000)	Audited (Ksh'000)	UnAudited (Ksh'000)
1	INTEREST INCOME								
1.1	Loans and advances	3,195,105	3,820,754	886,123	1,732,700	2,576,398	3,195,105	3,668,778	2,458,466
1.2	Government securities	391,614	555,322	161,291	316,848	479,888	391,614	555,322	479,888
1.3	Deposits and placements with banking institutions	34,414	41,409	4,309	10,483	18,256	34,414	41,409	18,256
1.4	Other Interest Income	-	-	-	-	-	-	-	-
1.5	Total interest income	3,621,133	4,417,485	1,051,723	2,060,031	3,074,542	3,621,133	4,265,509	2,956,610
2	INTEREST EXPENSES								
2.1	Customer deposits	1,407,331	1,805,618	389,873	766,584	1,145,400	1,407,331	1,805,618	1,145,400
2.2	Deposits and placement from banking institutions	179,607	154,219	59,705	103,399	134,073	179,607	154,219	134,073
2.3	Other interest expenses	304,553	445,495	90,573	196,361	303,764	413,078	439,412	296,018
2.4	Total interest expenses	1,891,491	2,405,332	540,151	1,066,344	1,583,238	2,000,016	2,399,249	1,575,492
3	NET INTEREST INCOME/(LOSS)	1,729,642	2,012,153	511,572	993,687	1,491,305	1,621,117	1,866,260	1,381,118
4	OTHER OPERATING INCOME								
4.1	Fees and commissions on loans and advances	52,127	54,074	34,977	70,718	98,234	52,127	54,074	98,234
4.2	Other fees and commissions	107,776	117,633	42,870	62,838	112,294	145,644	200,313	154,020
4.3	Foreign exchange trading income/(Loss)	55,261	85,270	24,955	48,938	72,294	55,261	85,270	72,294
4.4	Dividend Income	-	-	-	-	-	-	-	-
4.5	Other income	67,807	102,974	14,254	52,747	52,808	151,132	172,809	128,844
4.6	Total Non-interest income	282,971	359,951	117,056	235,241	335,630	404,164	512,466	453,392
5	TOTAL OPERATING INCOME	2,012,613	2,372,104	628,628	1,228,928	1,826,935	2,025,281	2,378,726	1,834,510
6	OPERATING EXPENSES								
6.1	Loan loss provision	450,765	414,803	139,719	187,926	241,004	441,189	405,069	169,702
6.2	Staff costs	734,969	1,108,624	247,424	507,472	787,354	839,521	1,227,163	854,686
6.3	Directors' emoluments	6,929	7,091	2,826	3,547	5,684	9,178	14,229	8,426
6.4	Rental charges	105,088	146,221	36,242	78,745	114,204	105,088	146,221	114,204
6.5	Depreciation charge on property and equipment	126,517	165,497	38,849	71,092	102,066	128,560	182,711	114,186
6.6	Amortisation charges	165,522	226,740	57,081	114,456	173,090	165,636	226,894	173,203
6.7	Other operating expenses	972,719	1,266,292	239,884	507,249	749,074	1,007,827	1,856,189	925,455
6.8	Total Other Operating Expenses	2,562,509	3,335,268	762,025	1,470,487	2,172,476	2,696,999	4,058,476	2,359,862
7	Profit/(loss) before tax and exceptional items	(549,896)	(963,164)	(133,397)	(241,559)	(345,541)	(671,718)	(1,679,750)	(525,352)
8	Exceptional items	(11,143)	(34,308)	-	624	129	(56,309)	(96,133)	(1,894)
9	Profit/(loss) after exceptional items	(561,039)	(997,472)	(133,397)	(240,935)	(345,412)	(728,027)	(1,775,883)	(527,246)
10	Current tax	-	-	(11,688)	(22,953)	(34,102)	(2,185)	(6,772)	(42,666)
11	Deferred tax	-	65,743	-	-	-	-	75,791	-
12	Profit/(loss) after tax and exceptional items	(561,039)	(931,729)	(145,085)	(263,888)	(379,514)	(730,212)	(1,706,864)	(569,912)
13	Other Comprehensive Income								
13.1	Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-	-	-	-	-
13.2	Fair value changes in available for sale financial assets	67,352	(75,772)	(20,163)	(13,526)	53,060	67,352	(75,772)	53,060
13.3	Revaluation surplus on Property, plant and equipment	-	137,076	-	-	-	-	137,076	-
13.4	Share of other comprehensive income of associates	-	-	-	-	-	-	-	-
13.5	Income tax relating to components of other comprehensive income	(16,838)	15,878	6,049	4,058	(16,568)	(16,838)	15,878	(16,568)
14	Other Comprehensive Income for the year net of tax	50,514	77,182	(14,114)	(9,469)	36,492	50,514	77,182	36,492
15	Total comprehensive income for the year	(510,525)	(854,547)	(159,199)	(273,357)	(343,022)	(679,698)	(1,629,682)	(533,420)
	Earnings per share	(149.61)	(186.35)	(116.07)	(105.56)	(101.20)	(2.53)	(4.44)	(1.98)
	Dividend per share	-	-	-	-	-	-	-	-

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UNAUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES

DISCLOSURES AS AT 30 SEPTEMBER 2021	Bank					Group Consolidated		
	30.09.2020	31.12.2020	31.03.2021	30.06.2021	30.09.2021	30.09.2020	31.12.2020	30.09.2021
	UnAudited (Ksh'000)	Audited (Ksh'000)	UnAudited (Ksh'000)	UnAudited (Ksh'000)	UnAudited (Ksh'000)	UnAudited (Ksh'000)	Audited (Ksh'000)	UnAudited (Ksh'000)
1 Non-Performing Loans and Advances								
a) Gross non-performing loans and advances	11,221,945	10,798,847	10,513,552	9,367,084	8,979,780	11,221,945	10,798,847	8,979,780
b) Less: Interest in Suspense	3,375,851	3,287,599	3,171,855	2,881,915	2,835,628	3,375,851	3,287,599	2,835,628
c) Total non-Performing loans and advances (a-b)	7,846,095	7,511,248	7,341,697	6,485,169	6,144,152	7,846,095	7,511,248	6,144,152
d) Less: Loan loss provisions	3,156,396	3,563,855	3,625,505	3,215,554	3,352,351	3,156,396	3,563,855	3,352,351
e) Net non-performing loans and advances(c-d)	4,689,698	3,947,393	3,716,192	3,269,615	2,791,801	4,689,698	3,947,393	2,791,801
f) Discounted value of securities	4,689,698	3,947,393	3,716,192	3,269,615	2,791,801	4,689,698	3,947,393	2,791,801
g) Net Exposure(e-f)	-	-	-	-	-	-	-	-
2 Insider loans and advances								
a) Directors, shareholders and associates	2,204,650	2,211,600	2,291,158	2,262,345	2,310,735	2,204,650	2,211,600	2,310,735
b) Employees	813,427	794,142	785,244	769,813	759,570	813,427	794,142	759,570
c) Total insider Loans and Advances	3,018,077	3,005,742	3,076,402	3,032,158	3,070,305	3,018,077	3,005,742	3,070,305
3 Off-Balance Sheet Items								
a) Letters of credit, guarantees and acceptances	58,232	821,725	1,033,486	1,201,834	1,416,089	58,232	821,725	1,416,089
b) Forwards, swaps and options	1,645,104	664,950	1,701,025	646,850	763,500	1,645,104	664,950	763,500
c) Other contingent liabilities	-	-	-	-	-	-	-	-
c) Total contingent liabilities	1,703,336	1,486,675	2,734,511	1,848,684	2,179,589	1,703,336	1,486,675	2,179,589
4 Capital Strength								
a) Core capital	4,321,974	3,621,847	3,551,689	3,887,579	3,674,574			
b) Minimum Statutory Capital	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000			
c) Excess/Deficiency	3,321,974	2,621,847	2,551,689	2,887,579	2,674,574			
d) Supplementary capital	969,059	978,502	1,551,576	1,552,862	1,485,609			
e) Total capital (a+d)	4,891,033	4,200,349	5,103,265	5,440,441	5,160,182			
f) Total risk weighted assets	45,523,839	46,280,127	44,125,502	44,228,827	38,648,622			
g) Core capital /Total deposit liabilities	11.27%	8.79%	9.16%	10.13%	9.72%			
h) Minimum Statutory Ratio	8.00%	8.00%	8.00%	8.00%	8.00%			
i) Excess/Deficiency	3.27%	0.79%	1.16%	2.13%	1.72%			
j) Core capital /Total risk weighted assets	9.49%	7.83%	8.05%	8.79%	9.46%			
k) Minimum Statutory Ratio	10.50%	10.50%	10.50%	10.50%	10.50%			
l) Excess/Deficiency (j-k)	-1.01%	-2.67%	-2.45%	-1.71%	-1.04%			
m) Total capital /Total risk weighted assets	10.74%	9.08%	11.57%	12.30%	13.28%			
n) Minimum Statutory Ratio	14.50%	14.50%	14.50%	14.50%	14.50%			
o) Excess/Deficiency (m-n)	-3.76%	-5.42%	-2.93%	-2.20%	-1.22%			
p) Adjusted Core Capital/Total Deposit Liabilities*	11.43%	8.90%	9.18%	10.50%	9.88%			
q) Adjusted Core Capital/Total Risk Weighted Assets*	9.63%	7.90%	8.07%	9.10%	9.61%			
r) Adjusted Total Capital/Total Risk Weighted Assets*	10.88%	9.20%	11.59%	12.60%	13.44%			
5 Liquidity								
a) Liquidity Ratio	20.30%	20.90%	20.60%	22.20%	22.50%			
b) Minimum Statutory Ratio	20.00%	20.00%	20.00%	20.00%	20.00%			
c) Excess(Deficiency) (a-b)	0.30%	0.90%	0.60%	2.20%	2.50%			

***Notes**

The adjusted Capital Ratios includes the expected credit loss provisions added back to Capital in line with CBK Guidance Note issued in April 2018 on implementation of IFRS 9.

These financial statements are extracts from the books of the institution. The complete set of quarterly financial statements, statutory and qualitative disclosures can be accessed on the institutions website www.hfgroup.co.ke

They may also be accessed at the institutions head office located at Rehani House, Kenyatta Avenue/Koinange Street, Nairobi

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